Type MS · Unemployment: meaning, measurement and types

Answer 1 of 20 · Question 3 part c · 3 marks

2025 JUN · Paper 02 · extract 1 of 5 · find part c in this mark scheme extract

	Answer	
3(a)	**AO1 1 mark** The only correct answer is: **B** They reduce overall pollution by setting emission limits A is not correct because pollution permits are designed to cap emissions at a certain level C is not correct because firms must adhere to the limits set by pollution permits or face penalties D is not correct because pollution permits encourage the use of clean energy to reduce the need for permits	**(1)**

Question Number	An economy has a national output of €300bn and its current account deficit is €15bn. What is the current account deficit as a percentage of national output? **Answer**	Mark
3(b)	**AO2 1 mark** The only correct answer is: **C** 5% A is not correct because this is €15bn/€300bn B is not correct because this is €300bn - €15bn/100 D is not correct because this is €300bn/€15bn	**(1)**

Question Number	Explain **one** reason why some people might suffer from structural unemployment in a country such as China. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is having the wrong skills **(1).** Young graduates have skills for higher skilled jobs rather than lower skilled jobs **(1)** therefore they cannot find jobs that match their qualifications **(1)** Accept any other appropriate response	**(3)**

Type MS · Unemployment: meaning, measurement and types

Answer 1 of 20 · Question 3 part c · 3 marks

2025 JUN · Paper 02 · extract 2 of 5 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the possible impact of rising inflation on menu costs for small firms in the UK. **Indicative content**	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • With inflation at 4%, the cost of inputs such as raw materials, labour and energy is likely to increase for small firms • To maintain margins, these firms might need to pass these costs onto consumers, necessitating regular price updates and thereby increasing menu costs • With inflation rising, firms may need to adjust their prices more frequently to keep up with increasing costs for raw materials, labour and other expenses • This means more frequent updates to menus, price lists and advertising materials leading to higher menu costs • This can be particularly challenging for small firms with limited resources	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Unemployment: meaning, measurement and types

Answer 1 of 20 · Question 3 part c · 3 marks

2025 JUN · Paper 02 · extract 3 of 5 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess whether lower income tax rates will encourage more people to work in a country such as Italy. **Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Reducing income tax rates to 23% and 33% may motivate people to work additional hours or seek better-paying jobs, knowing they will keep more of their income • More favourable tax conditions might encourage those not currently working, including young people, to enter the workforce • With less income going to taxes, individuals might be willing to work more hours or take on additional jobs, increasing overall labour supply • Lower taxes might attract skilled workers from abroad boosting productivity and innovation in the Italian workforce • As firms benefit from individuals having more disposable income and potentially investing, this can lead to job creation, further encouraging employment **AO4** • However, reducing taxes might lead to a significant loss in government revenue, affecting public services and investment • Less tax revenue could mean cuts to crucial public services like healthcare, education or infrastructure affecting the quality of life for the citizens of Italy • The higher rate of income tax remains at 43% meaning those with the highest incomes may not feel incentivised to work harder • While there might be immediate boosts to the economy, the long-term effects of reduced government revenue could lead to economic challenges • Other factors like job availability, wages, working conditions and childcare may have a more substantial impact on employment decisions than tax rate changes	**(9)**

Type MS · Unemployment: meaning, measurement and types

Answer 1 of 20 · Question 3 part c · 3 marks

2025 JUN · Paper 02 · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Unemployment: meaning, measurement and types

Answer 1 of 20 · Question 3 part c · 3 marks

2025 JUN · Paper 02 · extract 5 of 5 · find part c in this mark scheme extract

Question Number	Calculate, to two decimal places, the **percentage decrease** in the number of single-use plastic bags sold in the UK between 2021 and 2023. You are advised to show your working. **Answer**	Mark

1(a)	**AO1 1 marks** **D** globalisation	**(1)**

Question Number	Answer	Mark
1(b)	**AO1 1 mark** **C** People changing jobs	**(1)**

Question Number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to cost of borrowing and 1 mark for reference to reward for lending. The cost of borrowing **(1)** and the reward for lending/saving **(1)** **OR** The cost of borrowing/the reward for lending/saving money **(1)** An interest rate is normally expressed as a % of the total borrowed/lent/saved **(1)**	**(2)**

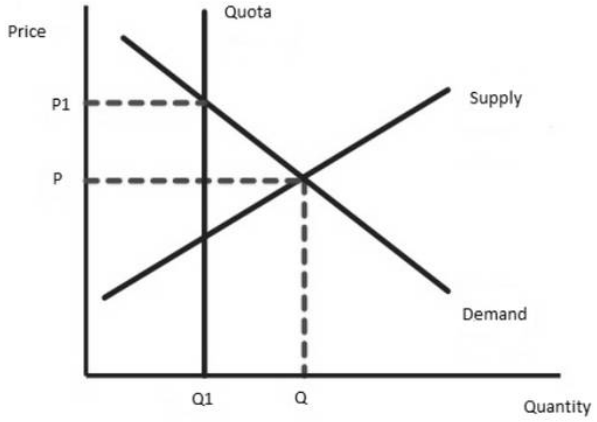
Question Number	Answer	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to the impact and 1 mark for development of the impact. The cost of borrowing has become cheaper **(1)** therefore more consumers take out loans to buy products **(1)**	**(2)**

Type MS · Unemployment: meaning, measurement and types

Answer 2 of 20 · Question 1 part b · 1 mark

2019 JUN · Paper 02 · extract 2 of 5 · find part b in this mark scheme extract

Question Number	Answer	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation. Award 1 mark for the correct answer. 1000/137.73 **(1)** = £7.26 **(1)** Award 2 marks if the correct answer is shown, with sterling symbol, even if no calculations are shown. Do not award marks for the formula	**(2)**

Question Number	Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for perfectly inelastic supply curve, labelled. Award 1 mark for higher equilibrium price, labelled. Award 1 mark for lower equilibrium quantity, labelled.  	**(3)**

Type MS · Unemployment: meaning, measurement and types

Answer 2 of 20 · Question 1 part b · 1 mark

2019 JUN · Paper 02 · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant way. Award 1 mark for developing the way. Award 1 mark for the response being in context. • One way is by the WTO hosting discussions/trade negotiations **(1)** in which countries such as the US and Canada agree to reductions in tariffs/quotas **(1)** which should result in greater free trade between countries **(1)** • One way is by the WTO having a set of rules **(1)** These aim to ensure that countries do not introduce tariffs/quotas such as the 300% tariff on aircraft **(1)** which would restrict free trade between countries **(1)** Accept any other appropriate response.	**(3)**

Type MS · Unemployment: meaning, measurement and types

Answer 2 of 20 · Question 1 part b · 1 mark

2019 JUN · Paper 02 · extract 4 of 5 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Fiscal policy (expansionary) is when the government increases government expenditure and/or reduces taxation • Increased government expenditure could be in the form of new infrastructure projects such as transport links or employing more public sector workers such as teachers • This should increase overall demand within the Australian economy • This results in firms raising output and having to employ more workers • Incomes will also rise resulting in further output and employment growth within the Australian economy • Unemployment should therefore be reduced in the Australian economy	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Unemployment: meaning, measurement and types

Answer 2 of 20 · Question 1 part b · 1 mark

2019 JUN · Paper 02 · extract 5 of 5 · find part b in this mark scheme extract

Question Number	Answer	Mark

Type MS · Unemployment: meaning, measurement and types

Answer 3 of 20 · Question 4 part b · 6 marks

2020 JAN · Paper 02 (regional R) · extract 1 of 4 · find part b in this mark scheme extract

Number		
4(a)	**AO2 2 marks** Award 1 mark for calculating the average rate of unemployment. $\frac{(4.8 + 4.6 + 4.3 + 2.9 + 3.0)}{5}$ **(1)** Award 1 mark for the correct answer. = 3.92% **(1)** Award 2 marks if the average percentage of 3.92% is accurately calculated with no workings shown Award 1 mark if correct answer is shown, i.e. 3.92 but with no percentage sign, even if no calculations are shown. Do not award marks for the formula.	**(2)**

Type MS · Unemployment: meaning, measurement and types

Answer 3 of 20 · Question 4 part b · 6 marks

2020 JAN · Paper 02 (regional R) · extract 2 of 4 · find part b in this mark scheme extract

Question Number	Indicative content
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Unemployment occurs when people of working age are able and willing to work but cannot find employment • The different regional rates could indicate that the UK is suffering from structural unemployment in the different regions • The rates of unemployment are highest in places such as the North of England (4.8%) and the Midlands (4.6%) • The UK has suffered from a decline in the secondary sector of the economy and has moved more towards tertiary • There could be a lack of skills and experience amongst the unemployed making it harder to find employment in certain areas of the UK • This therefore has resulted in different rates of unemployment in different parts of the UK

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Unemployment: meaning, measurement and types

Answer 3 of 20 · Question 4 part b · 6 marks

2020 JAN · Paper 02 (regional R) · extract 3 of 4 · find part b in this mark scheme extract

Question Number	Indicative content
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Education and training are examples of supply-side policies designed to improve the productive potential of an economy • Investment in education and training can help unemployed workers to acquire new skills so they can gain employment • Many unemployed workers lack the necessary skills needed to get a job, especially older workers who may need retraining to gain digital skills • This could help to reduce structural unemployment within the UK • A better educated and trained workforce could enable the UK to produce more goods and services thus increasing economic growth **AO4** • However, education and training tend to be long-term and there is a delay in an unemployed worker gaining new skills and being able to enter the labour force • There is a financial cost to the UK government of offering education and training to unemployed workers which could be spent on other public services • Some of the UK's unemployment may not be structural and could in fact be due to cyclical unemployment • If the main cause of unemployment in the UK is due to other reasons then demand side policies such as fiscal and monetary might be more effective in reducing unemployment • If the UK is suffering from a range of different types of unemployment, then a combination of policies would be the most effective

Type MS · Unemployment: meaning, measurement and types

Answer 3 of 20 · Question 4 part b · 6 marks

2020 JAN · Paper 02 (regional R) · extract 4 of 4 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Number		
1(a)	**AO1 1 marks** **C** free trade	**(1)**

Question Number	**Answer**	Mark
1(b)	**AO1 1 mark** **B** Invisible trade	**(1)**

Question Number	**Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to being willing and able and 1 mark for reference to unable to find employment People are willing and able to work/actively seeking work **(1)** but cannot find employment **(1)**. Accept any other appropriate responses.	**(2)**

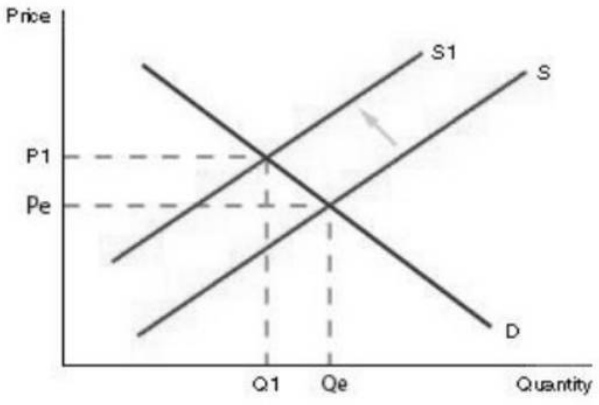
Question Number	**Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to decision and 1 mark for reference to not being both achievable The choice between two objectives **(1)**, where for one objective to increase the other must decrease **(1)**. Accept any other appropriate responses.	**(2)**

Type MS · Unemployment: meaning, measurement and types

Answer 4 of 20 · Question 1 part c · 2 marks

2020 JAN · Paper 02 · extract 2 of 5 · find part c in this mark scheme extract

Question Number	Answer	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation. $\frac{8 \text{ million}}{72 \text{ million}} \times 100$ **(1)** Award 1 mark for the correct answer. = 11.11% **(1)** Award 2 marks if the rate of unemployment is correctly calculated as 11.11%, with percentage sign, even if no calculations are shown. Award 1 mark if correct answer is shown, but with no percentage sign, even with or without calculations. Do not award marks for the formula.	**(2)**

Question Number	Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for leftward shift of supply, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · Unemployment: meaning, measurement and types

Answer 4 of 20 · Question 1 part c · 2 marks

2020 JAN · Paper 02 · extract 3 of 5 · find part c in this mark scheme extract

Question Number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • If the quality of domestically produced goods is poor compared to imported foreign goods **(1)** then fewer consumers will buy these goods **(1).** Imports are likely to increase which contributes to the current account deficit of $5.082bn **(1)**. • If domestically produced goods are of poor quality **(1)** then there is less chance of exporting these goods to other countries **(1)**. Exports are likely to fall which contributes to the current account deficit of $5.082bn **(1)**. Accept any other appropriate response.	**(3)**

Type MS · Unemployment: meaning, measurement and types

Answer 4 of 20 · Question 1 part c · 2 marks

2020 JAN · Paper 02 · extract 4 of 5 · find part c in this mark scheme extract

Question Number	Indicative content	
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Subsidies are financial support from a government to lower the production costs of domestic firms • In this case, the Indian Government is providing a production subsidy of $725m to the farmers of sugar cane • Subsidies will lower the price of Indian produced sugar cane and increase sales • Financial support in the form of subsidies can help to protect local jobs • Subsidies can also help to encourage agricultural output of sugar cane by encouraging an increase in supply • Subsidies can help to improve competiveness against firms in other countries such as Australia that may not receive government assistance	
Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Unemployment: meaning, measurement and types

Answer 4 of 20 · Question 1 part c · 2 marks

2020 JAN · Paper 02 · extract 5 of 5 · find part c in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Unemployment: meaning, measurement and types

Answer 5 of 20 · Question 1 part a · 1 mark

2020 NOV · Paper 02 (regional R) · extract 1 of 5 · find part a in this mark scheme extract

1(a)	**AO1 1 marks** C Voluntary	**(1)**

Question Number	**Answer**	Mark
1(b)	**AO1 1 mark** D Recovery	**(1)**

Question Number	**Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to monetary authority and 1 mark for reference to its functions The monetary authority that manages a country's money supply **(1)** and interest rates/banking system **(1)** Accept any other appropriate response	**(2)**

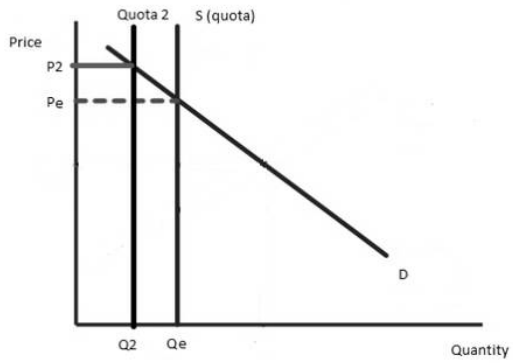
Question Number	**Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference harming domestic businesses and 1 mark for reference to competition from foreign businesses Domestic businesses can go out of business **(1)** if products from foreign businesses are better/cheaper **(1)** Accept any other appropriate response	**(2)**

Type MS · Unemployment: meaning, measurement and types

Answer 5 of 20 · Question 1 part a · 1 mark

2020 NOV · Paper 02 (regional R) · extract 2 of 5 · find part a in this mark scheme extract

Question Number	Answer	Mark
1(e)	**AO2 2 marks** Award 1 mark for showing the calculation 21 000 – (1 500 x 20%) **(1)** Award 1 mark for the correct answer = €20 700 **(1)** Award 2 marks if the correct answer €20 700 is shown, with € sign, even if no calculations are shown Award 1 mark if correct answer 20 700 is shown, but with no € sign, even if no calculations are shown Do not award marks for the formula	**(2)**

Question Number	Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for leftward shift of perfectly inelastic supply curve, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · Unemployment: meaning, measurement and types

Answer 5 of 20 · Question 1 part a · 1 mark

2020 NOV · Paper 02 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

Question Number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • The impact is that wages do not buy the same amount of goods **(1)** this is because prices are rising at a faster rate than wages **(1).** To prevent this wages need to rise such as the recent increase in Mexico **(1)** • The impact might be limited **(1)** if wages for some workers in Mexico are linked to inflation **(1).** This means that the standard of living remains the same if wages are keeping up with inflation **(1)** Accept any other appropriate response	**(3)**

Question Number	Indicative content	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Trade blocs are usually groups of countries in specific regions that manage and promote trade activities • This can result in more free trade between member countries • This can benefit member countries in the AfCFTA because they have access to a wider market which will consist of 1.2bn people • GDP for the trade bloc is expected to be $2.5 trillion. • Firms in the trade bloc may be able to exploit economies of scale or specialisation can occur • Prices may be cheaper due to a reduction of tariffs and quotas • Consumers may benefit with lower prices and/or greater choice of goods and services • Being a member of the AfCFTA trade bloc may attract increased FDI	**(6)**

Type MS · Unemployment: meaning, measurement and types

Answer 5 of 20 · Question 1 part a · 1 mark

2020 NOV · Paper 02 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Unemployment: meaning, measurement and types

Answer 5 of 20 · Question 1 part a · 1 mark

2020 NOV · Paper 02 (regional R) · extract 5 of 5 · find part a in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Unemployment: meaning, measurement and types

Answer 6 of 20 · Question 1 part a · 1 mark

2020 NOV · Paper 02 · extract 1 of 5 · find part a in this mark scheme extract

1(a)	**AO1 1 marks** **B** unemployment	**(1)**

Question Number	**Answer**	Mark
1(b)	**AO1 1 mark** **C** Subsidies	**(1)**

Question Number	**Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to value of goods/services and 1 mark to time period GDP is the market value of all goods and services **(1)** produced in a year **(1)** Accept any other appropriate response	**(2)**

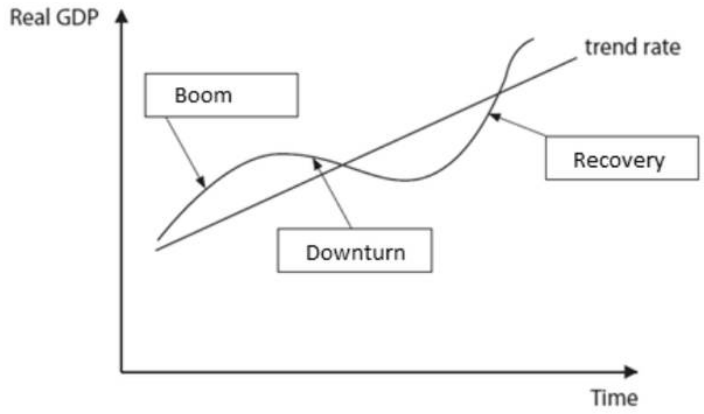
Question Number	**Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to the positive impact and 1 mark for development of the positive impact An improvement in standards of living **(1)** due to more income from jobs **(1)** Accept any other appropriate response	**(2)**

Type MS · Unemployment: meaning, measurement and types

Answer 6 of 20 · Question 1 part a · 1 mark

2020 NOV · Paper 02 · extract 2 of 5 · find part a in this mark scheme extract

Question Number	Answer	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation $\frac{130.3 - 120.4}{120.4} \times 100$ **(1)** Award 1 mark for the correct answer = 8.22% **(1)** Award 2 marks if the correct answer 8.22% is shown, with percentage sign, even if no calculation is shown Award 1 mark if correct answer is shown 8.22, but with no percentage sign, even if no calculation is shown Do not award marks for the formula	**(2)**

Question Number	Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for boom, labelled Award 1 mark for downturn, labelled Award 1 mark for recovery, labelled  **Figure 1**	**(3)**

Type MS · Unemployment: meaning, measurement and types

Answer 6 of 20 · Question 1 part a · 1 mark

2020 NOV · Paper 02 · extract 3 of 5 · find part a in this mark scheme extract

Question Number	**Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is due to generous welfare benefits **(1)**. If a teacher is able to have a good standard of living on welfare benefits **(1)** then there is a disincentive to work at the current wage rates being offered in the education sector **(1)** • One reason is due to high rates of income tax **(1)**. If a person has to give a large proportion of earned income to the government **(1)** then there is less of an incentive to be employed as a teacher **(1)** Accept any other appropriate response	**(3)**

Type MS · Unemployment: meaning, measurement and types

Answer 6 of 20 · Question 1 part a · 1 mark

2020 NOV · Paper 02 · extract 4 of 5 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Firms need to transport goods and services around the world and often use large container ships or air to transport goods long distances • Larger cargo ships have resulted in a reduction in the cost of transporting goods by up to 70% on ships as more goods are able to be transported at the same time • This reduces the cost of fuel and economies of scale can be achieved by operating on a larger scale • Transport improvements in aviation also mean that goods and people can travel more quickly between different countries • This has enabled firms to react quickly to consumers around the world • Firms are able to provide perishable goods such as food more easily to a wider geographical area • All these factors have contributed to the increase in globalisation	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Unemployment: meaning, measurement and types

Answer 6 of 20 · Question 1 part a · 1 mark

2020 NOV · Paper 02 · extract 5 of 5 · find part a in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Unemployment: meaning, measurement and types

Answer 7 of 20 · Question 1 part g · 3 marks

2020 NOV · Paper 02 · extract 1 of 5 · find part g in this mark scheme extract

1(a)	**AO1 1 marks** **B** unemployment	**(1)**

Question Number	**Answer**	Mark
1(b)	**AO1 1 mark** **C** Subsidies	**(1)**

Question Number	**Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to value of goods/services and 1 mark to time period GDP is the market value of all goods and services **(1)** produced in a year **(1)** Accept any other appropriate response	**(2)**

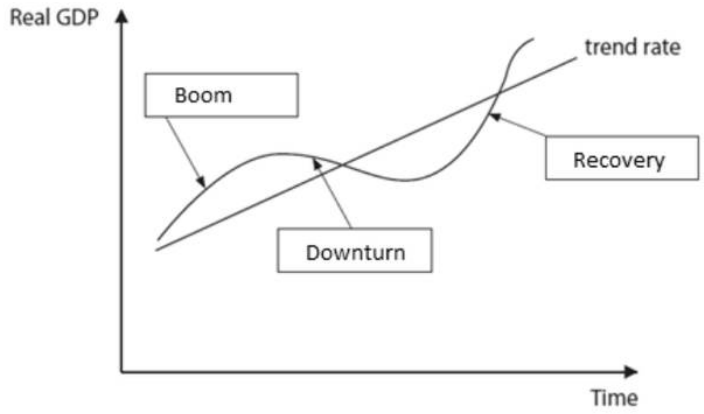
Question Number	**Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to the positive impact and 1 mark for development of the positive impact An improvement in standards of living **(1)** due to more income from jobs **(1)** Accept any other appropriate response	**(2)**

Type MS · Unemployment: meaning, measurement and types

Answer 7 of 20 · Question 1 part g · 3 marks

2020 NOV · Paper 02 · extract 2 of 5 · find part g in this mark scheme extract

Question Number	Answer	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation $\frac{130.3 - 120.4}{120.4} \times 100$ **(1)** Award 1 mark for the correct answer = 8.22% **(1)** Award 2 marks if the correct answer 8.22% is shown, with percentage sign, even if no calculation is shown Award 1 mark if correct answer is shown 8.22, but with no percentage sign, even if no calculation is shown Do not award marks for the formula	**(2)**

Question Number	Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for boom, labelled Award 1 mark for downturn, labelled Award 1 mark for recovery, labelled  **Figure 1**	**(3)**

Type MS · Unemployment: meaning, measurement and types

Answer 7 of 20 · Question 1 part g · 3 marks

2020 NOV · Paper 02 · extract 3 of 5 · find part g in this mark scheme extract

Question Number	**Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is due to generous welfare benefits **(1)**. If a teacher is able to have a good standard of living on welfare benefits **(1)** then there is a disincentive to work at the current wage rates being offered in the education sector **(1)** • One reason is due to high rates of income tax **(1)**. If a person has to give a large proportion of earned income to the government **(1)** then there is less of an incentive to be employed as a teacher **(1)** Accept any other appropriate response	**(3)**

Type MS · Unemployment: meaning, measurement and types

Answer 7 of 20 · Question 1 part g · 3 marks

2020 NOV · Paper 02 · extract 4 of 5 · find part g in this mark scheme extract

Question Number	Indicative content	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Firms need to transport goods and services around the world and often use large container ships or air to transport goods long distances • Larger cargo ships have resulted in a reduction in the cost of transporting goods by up to 70% on ships as more goods are able to be transported at the same time • This reduces the cost of fuel and economies of scale can be achieved by operating on a larger scale • Transport improvements in aviation also mean that goods and people can travel more quickly between different countries • This has enabled firms to react quickly to consumers around the world • Firms are able to provide perishable goods such as food more easily to a wider geographical area • All these factors have contributed to the increase in globalisation	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Unemployment: meaning, measurement and types

Answer 7 of 20 · Question 1 part g · 3 marks

2020 NOV · Paper 02 · extract 5 of 5 · find part g in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Unemployment: meaning, measurement and types

Answer 8 of 20 · Question 1 part a · 1 mark

2021 JUN · Paper 02 · extract 1 of 5 · find part a in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** Seasonal A is not correct because this is caused by changes in whole industries B is not correct because this is caused by falling demand as a result of a downturn in the economic cycle D is not correct because this is caused from people choosing not to work	**(1)**

Question Number	Which **one** of the following terms refers to a tax on imported goods? Answer	Mark
1(b)	**AO1 1 mark** The only correct answer is **B** Tariff A is not correct because this is money paid by a government to reduce costs and lower prices C is not correct because this is a financial penalty for firms that break laws D is not correct because this is a document that gives business the right to discharge a certain quantity of polluting material	**(1)**

Question Number	What is meant by the term recession? Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to fall in GDP and 1 mark for reference to time period A fall in GDP **(1)** for two successive quarters **(1)**. Accept any other appropriate response	**(2)**

Type MS · Unemployment: meaning, measurement and types

Answer 8 of 20 · Question 1 part a · 1 mark

2021 JUN · Paper 02 · extract 2 of 5 · find part a in this mark scheme extract

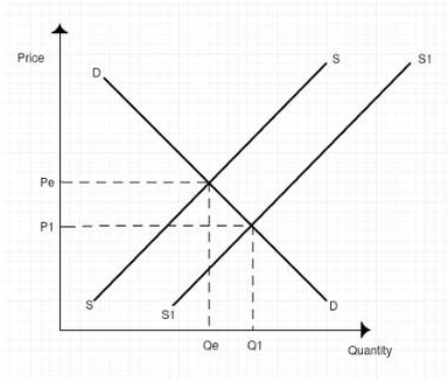
Question Number	What is meant by the term dumping? Answer	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to exporting goods and 1 mark for reference to the price being below manufacturing costs A firm sells goods in another country **(1)** below the cost of production **(1).** Accept any other appropriate response	**(2)**

Question Number	Calculate **the fiscal surplus/deficit in Indian rupees crore (Rs)** for India in 2019–2020. You are advised to show your working. Answer	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation 2 080 201 Rs – 2 784 200 Rs **(1)** Award 1 mark for the correct answer = –703 999 Rs **(1)** Award 2 marks for the correct answer of –703 999 Rs even if no calculations are shown. Award 1 mark if the answer given is –703 999 with or without calculations shown Do not award marks for the formula	**(2)**

Type MS · Unemployment: meaning, measurement and types

Answer 8 of 20 · Question 1 part a · 1 mark

2021 JUN · Paper 02 · extract 3 of 5 · find part a in this mark scheme extract

Question Number	Using the diagram below, draw the likely effects of the introduction of a subsidy on the equilibrium price and quantity of new cars for families with three or more children. Label the new curve, the new equilibrium price and the new equilibrium quantity. Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for rightward shift of supply curve, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Question Number	Explain **one** benefit to the UK Government of providing parks. Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant benefit Award 1 mark for developing the benefit Award 1 mark for the response being in context • One benefit is that national parks can protect a large area of land **(1)**. The Lake District National Park has over 12% of woodland that is protected **(1)**. Restrictions are in place to stop business activities that could damage the environment **(1)** • One benefit is that national parks can be used for recreational purposes **(1)**. Over 19.17 million people visited the Lake District National Park in 2018 **(1)** increasing tourism for local firms **(1)** Accept any other appropriate response	**(3)**

Type MS · Unemployment: meaning, measurement and types

Answer 8 of 20 · Question 1 part a · 1 mark

2021 JUN · Paper 02 · extract 4 of 5 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the benefits of FDI for a country such as Ireland. Indicative content
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • FDI is the value of inward investment from other countries/firms into a country • FDI can bring in capital investment to Ireland as MNCs will need buildings, equipment and infrastructure to operate within the country • Jobs can be created by MNCs which reduces unemployment and increases disposable income in Ireland • There may be increased demand for the products or services of local Irish firms that supply MNCs • MNCs may train up the local workforce and MNCs often bring new technologies, techniques and methods • Increased employment and wages should lead to increased tax for the Irish Government • Exports may also increase therefore improving the balance of payments for Ireland

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity an organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Unemployment: meaning, measurement and types

Answer 8 of 20 · Question 1 part a · 1 mark

2021 JUN · Paper 02 · extract 5 of 5 · find part a in this mark scheme extract

Question Number	An appreciation in a country's exchange rate is most likely to lead to which **one** of the following? Answer	Mark

Type MS · Unemployment: meaning, measurement and types

Answer 9 of 20 · Question 1 part a · 1 mark

2022 JUN · Paper 02 (regional R) · extract 1 of 5 · find part a in this mark scheme extract

Number		
1(a)	**AO2 1 mark** The only correct answer is: **D** An airline cuts jobs during a global recession A is not correct because it is structural unemployment B is not correct because it is seasonal unemployment C is not correct because it is frictional unemployment	**(1)**

Question Number	**Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **B** devaluation A is not correct because this is caused by market forces C is not correct because this is an increase in the exchange rate D is not correct because this is an increase in the exchange rate caused by market forces	**(1)**

Question Number	What is meant by the term exports? **Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to goods and 1 mark for reference to being to another country The sale of goods or services **(1)** to another country **(1)** Accept any other appropriate response	**(2)**

Type MS · Unemployment: meaning, measurement and types

Answer 9 of 20 · Question 1 part a · 1 mark

2022 JUN · Paper 02 (regional R) · extract 2 of 5 · find part a in this mark scheme extract

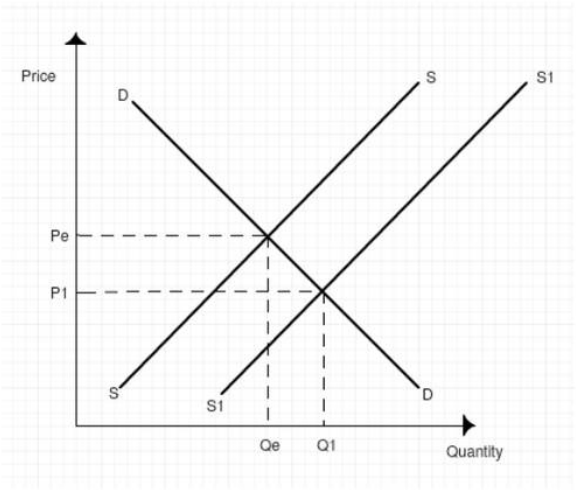
Question Number	Describe one impact that education may have on inequality and poverty. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference reducing inequality and poverty and 1 mark for reference to skills Education helps to reduce inequality and poverty **(1)** by providing skills needed to get a job **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate how much inflation there has been between 2015 and 2019. **Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation 110.2 - 100 **(1)** Award 1 mark for the correct answer = 10.2% **(1)** Award 2 marks if the correct answer 10.2% is shown, with percentage sign, even if no calculations are shown Award 1 mark if the answer given is 10.2, but with no percentage sign, with or without calculations shown Do not award marks for the formula.	**(2)**

Type MS · Unemployment: meaning, measurement and types

Answer 9 of 20 · Question 1 part a · 1 mark

2022 JUN · Paper 02 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

Question Number	Draw the effects of the introduction of a subsidy on the equilibrium price and quantity of renewable energy. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for rightward shift of supply, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Question Number	Explain the likely impact of a decrease in the UK interest rates on the UK pound. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is that the currency will depreciate **(1).** It will become less attractive to deposit money in the UK **(1)**. Therefore, demand for the UK pound (£) will fall **(1)** Accept any other appropriate response.	**(3)**

Type MS · Unemployment: meaning, measurement and types

Answer 9 of 20 · Question 1 part a · 1 mark

2022 JUN · Paper 02 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

Question Number	Analyse the disadvantages of free trade for domestic businesses located within this free trade area. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Free trade is a situation in which goods and services coming into or going out of a country/trade area are not controlled or taxed • Free trade means that domestic businesses are no longer protected • Domestic businesses will face greater competition from firms within the free trade area • Businesses may see increased competition from cheaper, low-cost firms within the free trade area who may have lower wage costs compared to domestic businesses • This could result in falling sales for businesses in the EU that will tend to have higher labour costs compared to Vietnam	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Unemployment: meaning, measurement and types

Answer 9 of 20 · Question 1 part a · 1 mark

2022 JUN · Paper 02 (regional R) · extract 5 of 5 · find part a in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Unemployment: meaning, measurement and types

Answer 10 of 20 · Question 2 part c · 1 mark

2022 JUN · Paper 02 · extract 1 of 5 · find part c in this mark scheme extract

Question Number	Answer	Mark
2(a)	**AO1 1 mark** The only correct answer is: **D** integration and interdependence of national economies A is not correct because globalisation encourages trade and specialisation B is not correct because trade barriers should be reduced C is not correct because increased globalisation reduces the need for national legislation	**(1)**

Question Number	Answer	Mark
2(b)	**AO1 1 mark** The only correct answer is: **B** An increase in environmental damage A is not correct because unemployment should fall due to more jobs being available in the economy C is not correct because investment is likely to increase due to economic growth and firms expanding D is not correct because tax revenues are likely to rise as more people have jobs/ firms are making more profit	**(1)**

Question Number	State one type of unemployment. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** type. • cyclical • structural • seasonal • voluntary • frictional Accept any other appropriate responses.	**(1)**

Type MS · Unemployment: meaning, measurement and types

Answer 10 of 20 · Question 2 part c · 1 mark

2022 JUN · Paper 02 · extract 2 of 5 · find part c in this mark scheme extract

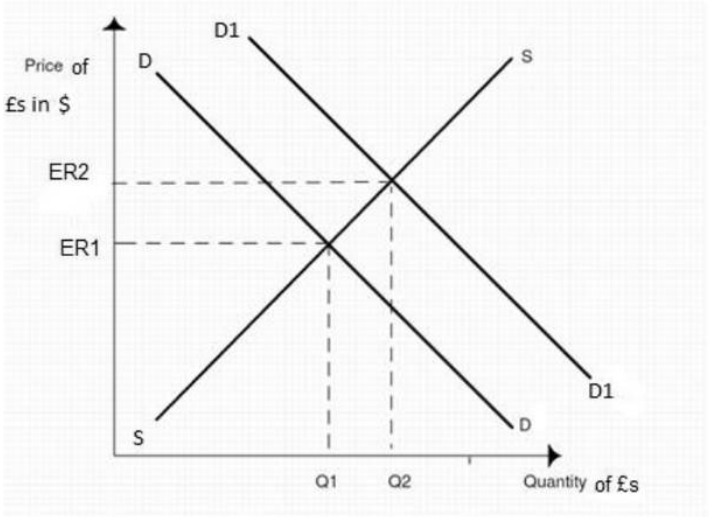
Question Number	What is meant by the term recovery? **Answer**	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to the economic cycle/recession and 1 mark for reference to increase in economic activity A phase in the economic cycle **(1)** where GDP starts to rise again/when consumers start to regain confidence/economic activity is on the increase **(1)** Accept any other appropriate response.	**(2)**

Question Number	Explain one impact of rising inflation on shoe leather costs for Nigeria. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is that shoe leather costs may increase **(1).** Consumers will try to find cheaper bread and meat **(1).** This means that they will spend more time shopping around and looking for goods **(1)** Accept any other appropriate response.	**(3)**

Type MS · Unemployment: meaning, measurement and types

Answer 10 of 20 · Question 2 part c · 1 mark

2022 JUN · Paper 02 · extract 3 of 5 · find part c in this mark scheme extract

Question Number	Draw the effects on the exchange rate of the UK pound (£) from an increase in exports to the US. Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for right shift of demand curve, labelled Award 1 mark for higher equilibrium exchange rate, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Unemployment: meaning, measurement and types

Answer 10 of 20 · Question 2 part c · 1 mark

2022 JUN · Paper 02 · extract 4 of 5 · find part c in this mark scheme extract

Question Number	Assess the advantages of free trade to firms located within the EU. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Free trade is a situation in which goods and services coming into or going out of a country/trade area are not controlled or taxed • The new free trade area consists of over 770 million people and trades over €88bn in goods and €34bn in services every year • Firms located within the EU would be able to access a much wider market for its goods and services thereby increasing sales • Mercosur is removing tariffs on 91% of EU goods on items such as clothing, wine, chemicals and canned peaches • This means that any EU firm operating in these areas will be able to export to the Mercosur area without additional tariffs and could increase revenues • Expansion into a new trading bloc could help to reduce risk for EU firms if demand falls within the EU **AO4** • However, free trade also means that EU firms will face greater competition from firms within the Mercosur area • EU firms may have increased competition from cheaper, low-cost firms within the Mercosur area that may have lower wage costs compared to EU firms • The EU has agreed to end 92% of tariffs on goods from the Mercosur area • This may have a negative impact on EU farmers particularly those involved in the production of beef, sugar and chicken • The overall impact will depend on the quality and price of the products made within the EU compared to the products made in the Mercosur area	**(9)**

Type MS · Unemployment: meaning, measurement and types

Answer 10 of 20 · Question 2 part c · 1 mark

2022 JUN · Paper 02 · extract 5 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Question Number	**Answer**	Mark

Type MS · Unemployment: meaning, measurement and types

Answer 11 of 20 · Question 1 part a · 1 mark

2023 JAN · Paper 02 (regional R) · extract 1 of 6 · find part a in this mark scheme extract

1(a)	**AO1 1 marks** The only correct answer is: **B** Unemployment A is not correct because this is measured by a % change in GDP C is not correct because this is decided by the government D is not correct because this is measured by the CPI	**(1)**

Question Number	Which **one** of the following is considered to be a progressive tax in the UK? **Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **A** Income tax B is not correct because this is an indirect tax/regressive tax C is not correct because these are taxes on individual items D is not correct because a set percentage is paid	**(1)**

Question Number	What is meant by the term deregulation? **Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to removal and 1 mark for reference to government controls The removal **(1)** of government controls **(1)** Accept any other appropriate response	**(2)**

Type MS · Unemployment: meaning, measurement and types

Answer 11 of 20 · Question 1 part a · 1 mark

2023 JAN · Paper 02 (regional R) · extract 2 of 6 · find part a in this mark scheme extract

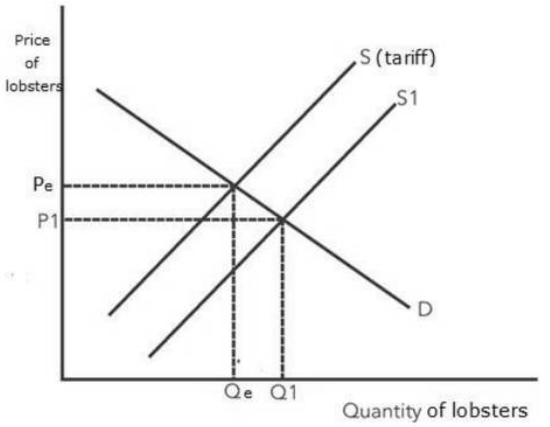
Question Number	Describe **one** negative impact of economic growth. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to environmental damage and 1 mark for reference to economic activity Environmental damage **(1)** caused by factories making more goods/services **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate the **price in euros (€)** of a UK manufactured car priced at £15 000 when the exchange rate is £1 = €1.10. You are advised to show your working. **Answer**	Mark
1(e)	**AO2 2 marks** Award 1 mark for showing the calculation £15 000 x €1.10 **(1)** Award 1 mark for the correct answer = €16 500 **(1)** Award 2 marks if the correct answer €16 500 is shown, with € sign, even if no calculations are shown Award 1 mark if correct answer 16 500 is shown, but with no € sign, with or without calculations Do not award marks for the formula	**(2)**

Type MS · Unemployment: meaning, measurement and types

Answer 11 of 20 · Question 1 part a · 1 mark

2023 JAN · Paper 02 (regional R) · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the decrease in the tariff on the equilibrium price and quantity of US lobster imports into the EU. Label the new curve, the new equilibrium price and new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for rightward shift of supply, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Unemployment: meaning, measurement and types

Answer 11 of 20 · Question 1 part a · 1 mark

2023 JAN · Paper 02 (regional R) · extract 4 of 6 · find part a in this mark scheme extract

Question Number	Explain the impact of wages rising faster than inflation on a country such as Mexico. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • The impact is that wages can buy more goods/services **(1)**. This is because wages are rising at a faster rate than prices in Mexico **(1).** This could result in increased pressure on the rate of inflation **(1)** • The impact is that firms could see fewer wage demands **(1)**. This is because wages are rising at a faster rate than prices in Mexico **(1)**. Employees would be less likely to require higher wages to maintain standards of living **(1)** Accept any other appropriate response	**(3)**

Type MS · Unemployment: meaning, measurement and types

Answer 11 of 20 · Question 1 part a · 1 mark

2023 JAN · Paper 02 (regional R) · extract 5 of 6 · find part a in this mark scheme extract

Question Number	Analyse the impact of education and training on the productive potential of a country such as Vietnam. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Education and training are examples of supply-side policies designed to improve the productive potential of an economy • Investment in education and training in IT can help unemployed workers to acquire new skills so they can gain employment • Many unemployed workers lack the necessary skills needed to get a job, especially older workers who may need retraining to gain digital skills • Offering training courses in IT could help to reduce structural unemployment within Vietnam • A better educated and trained workforce could enable Vietnam to produce more goods and services using IT skills thus increasing the productive potential of the country	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Unemployment: meaning, measurement and types

Answer 11 of 20 · Question 1 part a · 1 mark

2023 JAN · Paper 02 (regional R) · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Which type of unemployment would result from the permanent closure of a coal mine? **Answer**	Mark

Type MS · Unemployment: meaning, measurement and types

Answer 12 of 20 · Question 2 part a · 1 mark

2023 JAN · Paper 02 (regional R) · extract 1 of 6 · find part a in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **C** Structural A is not correct because this occurs due to seasonal factors B is not correct because this is when people choose not to work D is not correct because this is caused by fluctuations in the economic cycle	**(1)**

Question Number	What would be the annual amount of interest earned on £7 000 of savings if the interest rate was 3% per annum? **Answer**	Mark
2(b)	**AO2 1 mark** The only correct answer is: **B** £210 A is not correct because this is calculated by £7000 x 0.003 C is not correct because this is calculated by £7000 - £210 D is not correct because this is calculated by £7000 + £210	**(1)**

Question Number	State **one** advantage of free trade. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** advantage • Lower prices • Increased choice for consumers • Wider markets for business Accept any other appropriate response	**(1)**

Type MS · Unemployment: meaning, measurement and types

Answer 12 of 20 · Question 2 part a · 1 mark

2023 JAN · Paper 02 (regional R) · extract 2 of 6 · find part a in this mark scheme extract

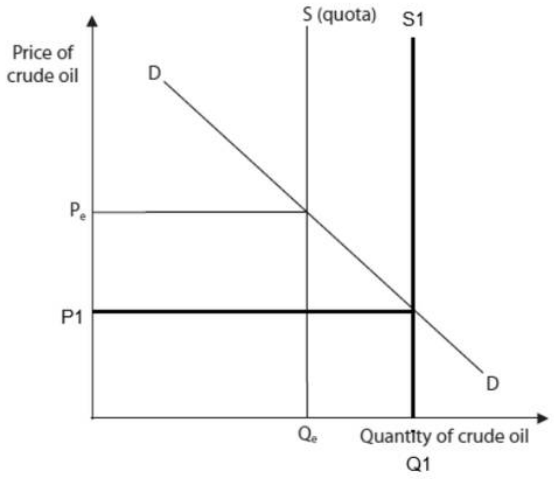
Question Number	What is meant by the term pollution permits? **Answer**	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to legal right and 1 mark for reference to limiting the amount of pollution They give firms the legal right **(1)** to discharge a certain amount of polluting material **(1)** Accept any other appropriate response	**(2)**

Question Number	Explain **one** way an airport can cause damage to the environment. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in context • One way is noise pollution **(1).** Aircraft constantly landing and taking off **(1)** results in additional noise for the local residents who live close to the airport **(1)** • One way is air pollution **(1).** Fumes from aircraft landing and taking off **(1)** can cause poor air quality in the area around the airport **(1)** Accept any other appropriate response	**(3)**

Type MS · Unemployment: meaning, measurement and types

Answer 12 of 20 · Question 2 part a · 1 mark

2023 JAN · Paper 02 (regional R) · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Using the diagram below, draw the effect of the introduction of the new quota. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for rightward shift of perfectly inelastic supply curve, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Unemployment: meaning, measurement and types

Answer 12 of 20 · Question 2 part a · 1 mark

2023 JAN · Paper 02 (regional R) · extract 4 of 6 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the effectiveness of using fines to protect the environment in a country such as the UK. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Fines are a financial penalty when a firm breaks environmental laws • Thames Water has been fined £2.3m for polluting a stream in the UK • This will therefore have a negative effect on Thames Water's profits and provide an incentive to not pollute the environment in the future • It may also harm the public image of Thames Water and therefore result in lower investment in the firm • Fines act as a polluter pays principal and the money from the fine can be used to clear up environmental damage • Fines should therefore act as a financial incentive for firms to comply with environmental laws **AO4** • However, many firms continue to pollute despite fines being levied against them including Thames Water • Thames Water has already been fined £24.4m for nine other cases of water pollution demonstrating that this has had very little impact on the firm and its actions • In order for the fine to be effective, it must be large enough to ensure firms do not pollute • Thames Water made £513.4m operating profit in 2020 so the fine is quite small in comparison to its profits • This has led to a situation where the benefits from non-compliance far outweighs the potential fines for polluting • It can take many years for firms to be fined – it has taken over 5 years to bring Thames Water to court making fines a very ineffective way of protecting the environment	**(9)**

Type MS · Unemployment: meaning, measurement and types

Answer 12 of 20 · Question 2 part a · 1 mark

2023 JAN · Paper 02 (regional R) · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Unemployment: meaning, measurement and types

Answer 12 of 20 · Question 2 part a · 1 mark

2023 JAN · Paper 02 (regional R) · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Which **one** of the following is an example of Foreign Direct Investment (FDI)? **Answer**	Mark

1(a)	**AO1 1 marks** The only correct answer is: **B** Settling trade disputes A is not correct because it does not have the power to do this C is not correct because its role is to decrease trade barriers D is not correct because this would increase protectionism	**(1)**

Question Number	Which **one** of the following is an example of a supply-side policy to increase output? **Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **C** Increasing the school-leaving age A is not correct because it is a fiscal policy B is not correct because it is a monetary policy D is not correct because it would deter investment	**(1)**

Question Number	What is meant by the term economies of scale? **Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to falling average costs and 1 mark for reference to expansion Falling average costs **(1)** due to expansion of the firm **(1)** Accept any other appropriate response	**(2)**

Type MS · Unemployment: meaning, measurement and types

Answer 13 of 20 · Question 1 part g · 3 marks

2023 JAN · Paper 02 · extract 2 of 6 · find part g in this mark scheme extract

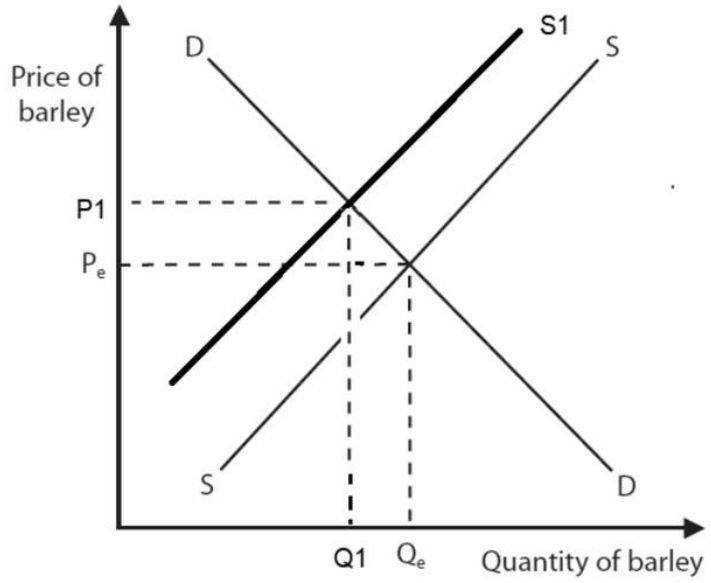
Question Number	Describe **one** advantage of free trade for consumers. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to an advantage for consumers and 1 mark for development of an advantage for consumers An increase in choice **(1)** due to more foreign goods/services being imported into the country **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate the **net pay** in £ for Sofia. You are advised to show your working. **Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation £22 500 x 20% = £4 500 **(1)** Award 1 mark for the correct answer £35 000 - £4 500 = £30 500 **(1)** Award 2 marks if the correct answer £30 500 is shown, with £ sign, even if no calculations are shown Award 1 mark if correct answer 30 500 is shown but with no £ sign, with or without calculations Do not award marks for the formula	**(2)**

Type MS · Unemployment: meaning, measurement and types

Answer 13 of 20 · Question 1 part g · 3 marks

2023 JAN · Paper 02 · extract 3 of 6 · find part g in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of a tariff on the equilibrium price and quantity of Australian barley. Label the new curve, the new equilibrium price and new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for leftward shift of supply, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · Unemployment: meaning, measurement and types

Answer 13 of 20 · Question 1 part g · 3 marks

2023 JAN · Paper 02 · extract 4 of 6 · find part g in this mark scheme extract

Question Number	Explain **one** reason why some people in the tourism sector might suffer from seasonal unemployment in a country such as France. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that workers are only required for certain times of the year **(1).** Tourist attractions/holiday resorts will require more workers during the holiday season **(1).** Seasonal workers are no longer needed when the holiday season ends so are therefore seasonally unemployed **(1)** Accept any other appropriate response	**(3)**

Question Number	Analyse the benefits of a current account surplus for a country such as Australia. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A current account surplus means an economy is exporting a greater value of goods and services than it is importing • Australia's current account surplus was $18.1bn in December 2020 • Australia's current account surplus benefits the country in terms of employment as higher export sales help to create jobs • This encourages economic growth and a higher GDP • This is likely to result in a higher standard of living for people living in Australia • Australia's current account surplus will mean that it will have surplus foreign exchange it can use to invest in other countries	**(6)**

Type MS · Unemployment: meaning, measurement and types

Answer 13 of 20 · Question 1 part g · 3 marks

2023 JAN · Paper 02 · extract 5 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Unemployment: meaning, measurement and types

Answer 13 of 20 · Question 1 part g · 3 marks

2023 JAN · Paper 02 · extract 6 of 6 · find part g in this mark scheme extract

Question Number	Money earned from foreign tourists visiting Canada is shown in Canada's current account on the balance of payments as: **Answer**	Mark

Type MS · Unemployment: meaning, measurement and types

Answer 14 of 20 · Question 1 part b · 1 mark

2023 JUN · Paper 02 · extract 1 of 5 · find part b in this mark scheme extract

1(a)	**AO1 1 marks** The only correct answer is: **B** GDP starts to rise and economic activity is on the increase A is not correct because this describes a boom C is not correct because this describes a downturn D is not correct because this describes a recession	**(1)**

Question Number	Which **one** of the following is an example of frictional unemployment? Answer	Mark
1(b)	**AO1 1 mark** The only correct answer is: **B** Workers are unemployed whilst waiting to start a new job A is not correct because this is an example of cyclical unemployment C is not correct because this is an example of seasonal unemployment D is not correct because this is an example of structural unemployment	**(1)**

Question Number	What is meant by the term exports? Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to goods and 1 mark for reference to being sent to another country The sale of goods or services **(1)** to another country **(1)** Accept any other appropriate response.	**(2)**

Type MS · Unemployment: meaning, measurement and types

Answer 14 of 20 · Question 1 part b · 1 mark

2023 JUN · Paper 02 · extract 2 of 5 · find part b in this mark scheme extract

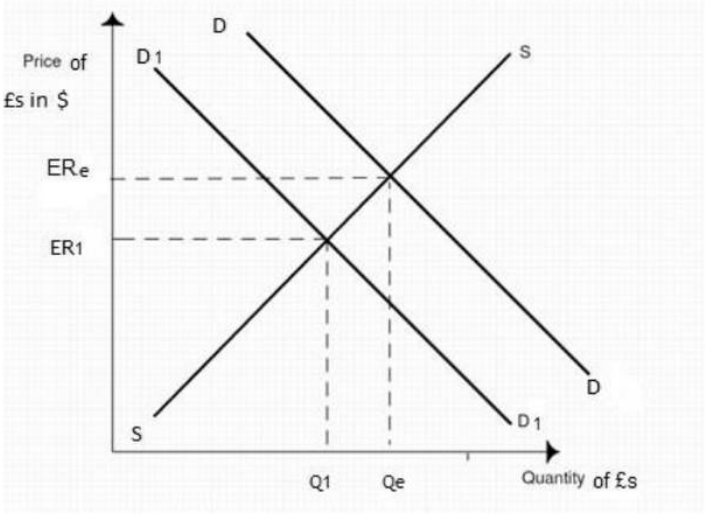
Question Number	What is meant by the term globalisation? Answer	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to interconnection and 1 mark for reference to world's economies Growing interconnection **(1)** of the world's economies **(1)** Accept any other appropriate response.	**(2)**

Question Number	Calculate how much the **average price level** increased between 2018 and 2021. You are advised to show your working. Answer	Mark
1(e)	**AO2 2 marks** Award 1 mark for showing the calculation 105.4 - 100 **(1)** Award 1 mark for the correct answer = 5.4% **(1)** Award 2 marks if the correct answer 5.4% is shown, with percentage sign, even if no calculations are shown Award 1 mark if the answer given is 5.4, but with no percentage sign, with or without calculations shown Do not award marks for the formula.	**(2)**

Type MS · Unemployment: meaning, measurement and types

Answer 14 of 20 · Question 1 part b · 1 mark

2023 JUN · Paper 02 · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Using the diagram below, draw the effects of a decrease in UK exports to the US on the equilibrium exchange rate of UK pounds (£). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity. Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for leftward shift of demand curve, labelled Award 1 mark for lower equilibrium exchange rate, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Question Number	Explain one effect of rising inflation on menu costs in the UK. Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant effect Award 1 mark for developing the effect Award 1 mark for the response being in context • One effect is that menu costs may increase **(1).** When inflation is high, prices need changing frequently **(1).** Firms have to spend money to print new brochures/update websites with the higher prices **(1)** Accept any other appropriate response.	**(3)**

Type MS · Unemployment: meaning, measurement and types

Answer 14 of 20 · Question 1 part b · 1 mark

2023 JUN · Paper 02 · extract 4 of 5 · find part b in this mark scheme extract

Question Number	Analyse the possible benefits for Columbia of having import quotas. Indicative content	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Quotas are physical limits on the quantity of imports allowed into a country • Quotas on rice might help to protect domestic rice farmers • By restricting the amount of rice imported into Columbia domestic rice farmers may gain more market share • This could result in higher revenues for domestic rice farmers • Rice is a staple food in Columbia therefore is of national importance • Therefore, domestic rice farmers might be able to increase the supply of rice to meet any shortages if imports are restricted by quotas	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Unemployment: meaning, measurement and types

Answer 14 of 20 · Question 1 part b · 1 mark

2023 JUN · Paper 02 · extract 5 of 5 · find part b in this mark scheme extract

Question Number	Fiscal policy would involve a change in which **one** of the following? Answer	Mark

Type MS · Unemployment: meaning, measurement and types

Answer 15 of 20 · Question 2 part d · 2 marks

2023 NOV · Paper 02 · extract 1 of 6 · find part d in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **A** To increase the demand for its exports B is not correct because devaluation aims to increase not decrease the demand for exports C is not correct because devaluation aims to make exports cheaper rather than affect the price of imports D is not correct because devaluation can make a country's assets and investments cheaper in foreign currency terms, which can attract foreign investors	**(1)**

Question Number	Which **one** of the following is the most likely reason for increased globalisation? **Answer**	Mark
2(b)	**AO2 1 mark** The only correct answer is: **C** An increase in the significance of MNCs A is not correct because this would reduce trade B is not correct because this would make trade more expensive and less likely D is not correct because this would result in less globalisation	**(1)**

Question Number	State **one** possible macroeconomic objective for a government. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** macroeconomic objective. • Economic growth • Low and stable inflation • Low unemployment • Surplus or balance on the current account of the balance of payments • Protection of the environment • Redistribution of income Accept any other appropriate response	**(1)**

Type MS · Unemployment: meaning, measurement and types

Answer 15 of 20 · Question 2 part d · 2 marks

2023 NOV · Paper 02 · extract 2 of 6 · find part d in this mark scheme extract

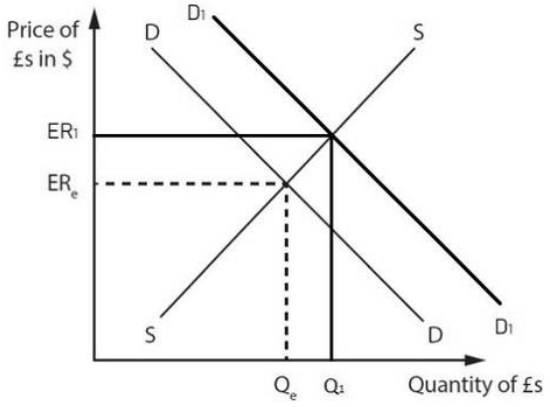
Question Number	What is meant by the term seasonal unemployment? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition When workers are only required for certain times of the year **(1)** and unemployed for the rest of the year **(1)** Accept any other appropriate response	**(2)**

Question Number	Explain **one** reason rapid economic growth may be harmful for an economy such as Vietnam. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is because it may cause damage to the environment **(1).** The increased production of goods and services can cause pollution **(1)** which may result in increased government expenditure to reduce the problem **(1)** • One reason is higher inflation **(1).** Rapid growth of 8.02% may result in the economy overheating **(1).** This could result in lower standards of living for people in Vietnam due to less purchasing power **(1)** Accept any other appropriate response	**(3)**

Type MS · Unemployment: meaning, measurement and types

Answer 15 of 20 · Question 2 part d · 2 marks

2023 NOV · Paper 02 · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Using the diagram below, draw the effect of an increase in UK exports to the US on the equilibrium exchange rate of the UK pound (£). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium exchange rate, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Unemployment: meaning, measurement and types

Answer 15 of 20 · Question 2 part d · 2 marks

2023 NOV · Paper 02 · extract 4 of 6 · find part d in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the disadvantages of higher business tax rates on investment in a country such as the UK. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Business tax is a direct tax on the profit of a firm • Business tax rates in the UK have increased from 19% to 25% in April 2023 • Increasing business tax rates by such a large percent (6%) may result in less tax revenue for the UK Government if firms do not locate in the UK or if UK firms relocate to the US • The US has a much lower tax rate of 21% in comparison to the UK which could be very attractive to MNCs • Firms such as Associated British Foods will have to pay £20m more in taxation • This could result in the firm having less to invest in the UK economy • This is likely to result in a negative impact on GDP and employment if many firms have less profit to invest and expand in the UK **AO4** • However, increases in business tax rates can help provide the UK Government with an additional £18bn in tax revenue • This could be used by the UK Government to invest into public services for the UK population which might offset any reductions in investment by the private sector • The UK's tax rate of 25% is comparable to China and France and is still significantly lower than Germany's 30% tax rate • This could mean that the impact of the higher rates of business tax is minimal • The level of investment is affected by a range of factors, such as business confidence and not just the rate of business taxes in a country	**(9)**

Type MS · Unemployment: meaning, measurement and types

Answer 15 of 20 · Question 2 part d · 2 marks

2023 NOV · Paper 02 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Unemployment: meaning, measurement and types

Answer 15 of 20 · Question 2 part d · 2 marks

2023 NOV · Paper 02 · extract 6 of 6 · find part d in this mark scheme extract

Question Number	How many UK pounds (£) can be bought with $50 if the exchange rate is $1=0.75? **Answer**	Mark

Type MS · Unemployment: meaning, measurement and types

Answer 16 of 20 · Question 1 part b · 1 mark

2024 JUN · Paper 02 (regional R) · extract 1 of 5 · find part b in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** Environmental damage A is not correct because MNCs invest in factories and capital equipment in other countries B is not correct because this is an advantage of MNCs C is not correct because MNCs often create new jobs when locating in another country	**(1)**

Question Number	Which **one** of the following describes voluntary unemployment? **Answer**	Mark
1(b)	**AO1 1 marks** The only correct answer is: **C** Unemployment caused by individuals choosing not to work A is not correct because this describes structural unemployment B is not correct because this describes cyclical unemployment D is not correct because this describes seasonal unemployment	**(1)**

Question Number	What is meant by the term monetary policy? **Answer**	Mark
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition Use of interest rates/money supply **(1)** to influence the level of overall demand in the economy **(1)** Accept any other appropriate response	**(2)**

Type MS · Unemployment: meaning, measurement and types

Answer 16 of 20 · Question 1 part b · 1 mark

2024 JUN · Paper 02 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

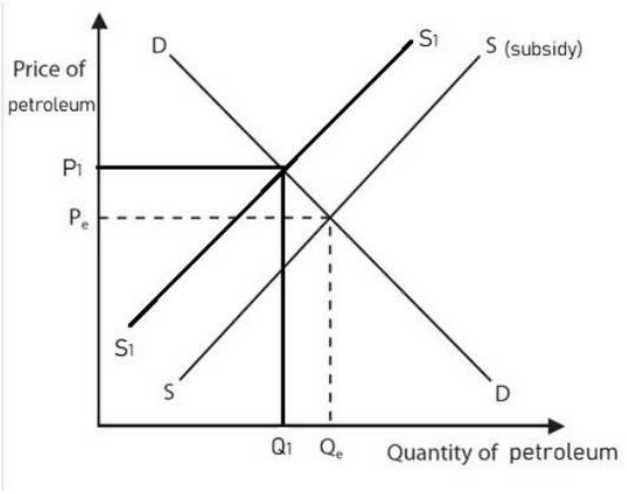
Question Number	Describe **one** advantage of privatisation for a government. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to an advantage for a government and 1 mark for development of an advantage for a government Generates revenue **(1)** which can help the government to invest in other areas **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate the **total amount of revenue** in £bn raised by indirect taxes in February 2023. You are advised to show your working. **Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for selecting indirect taxes from the table £14.3bn + £3.7bn + £0.4bn **(1)** Award 1 mark for the correct answer = £18.4bn **(1)** Award 2 marks if the correct answer is £18.4bn even if no calculations are shown Award 1 mark if the answer given is 18.4 even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Unemployment: meaning, measurement and types

Answer 16 of 20 · Question 1 part b · 1 mark

2024 JUN · Paper 02 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the removal of the fuel subsidy on the equilibrium price and quantity of petroleum in Ghana. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for a leftward shift of supply curve, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a lower equilibrium quantity, labelled  	**(3)**

Type MS · Unemployment: meaning, measurement and types

Answer 16 of 20 · Question 1 part b · 1 mark

2024 JUN · Paper 02 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Question Number	Explain **one** advantage of deregulation for a country such as India. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage is that it can increase competition **(1)**. New telecommunications firms can more easily enter the market and compete with established companies **(1)** which can lead to lower prices/higher quality/more choice for consumers **(1)** • One advantage is that it can stimulate economic growth **(1)**. When regulations are reduced, firms pay lower taxes or fees so may have more resources to invest **(1)** which can create jobs and increase economic output **(1)** Accept any other appropriate response	**(3)**

Question Number	With reference to the data above and your knowledge of economics, analyse the advantages for UK firms of the UK joining the CPTPP trading bloc. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Trading blocs are usually groups of countries in specific regions that negotiate preferential trading agreements between themselves with reduced trade barriers • The CPTPP includes countries in the Asia-Pacific region, providing UK firms with access to new markets that they might not have been able to enter before • By joining the CPTPP, the UK firms could benefit from reduced trade barriers, making it easier and cheaper to export goods to member countries • Membership in the CPTPP could help UK firms access skilled labour in other member countries • Membership of the CPTPP could help the UK firms diversify trade relationships beyond Europe, reducing the risk of relying on a single trading partner	**(6)**

Type MS · Unemployment: meaning, measurement and types

Answer 16 of 20 · Question 1 part b · 1 mark

2024 JUN · Paper 02 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Question Number	Which **one** of the following is the calculation for the rate of unemployment in a country? **Answer**	Mark

Type MS · Unemployment: meaning, measurement and types

Answer 17 of 20 · Question 2 part a · 1 mark

2024 JUN · Paper 02 (regional R) · extract 1 of 6 · find part a in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **B** Number of unemployed/Total labour force x 100 A is not correct because this calculates the labour force participation rate C is not correct because this calculates the employment rate D is not correct because this calculates the unemployment rate as a percentage of the total population	**(1)**

Type MS · Unemployment: meaning, measurement and types

Answer 17 of 20 · Question 2 part a · 1 mark

2024 JUN · Paper 02 (regional R) · extract 2 of 6 · find part a in this mark scheme extract

Question Number	Which **one** of the following describes a role of the World Trade Organization (WTO)? **Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **A** Help with trade negotiations B is not correct because this is not carried out by the WTO C is not correct because the WTO does not offer financial assistance to any countries D is not correct because the WTO does not get involved in exchange rate fluctuations	**(1)**

Question Number	State **one** possible reason for a current account surplus. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** possible reason • Improving quality of domestic goods • Poorer quality of foreign goods • Lower price of domestic goods • Higher price of foreign goods • Depreciating exchange rate • Value of exports is greater the value of imports Accept any other appropriate response	**(1)**

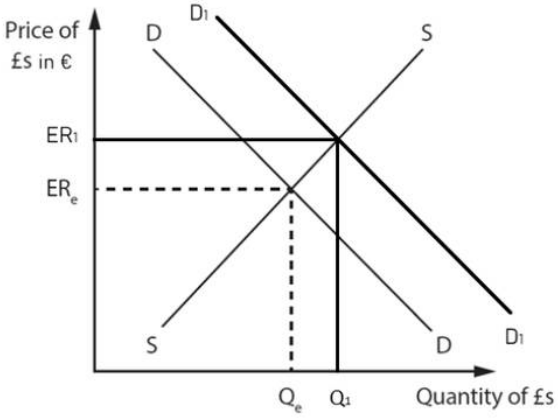
Question Number	What is meant by the term relative poverty? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition The standard of living is below **(1)** the typical average living standards in that society **(1)** Accept any other appropriate response	**(2)**

Type MS · Unemployment: meaning, measurement and types

Answer 17 of 20 · Question 2 part a · 1 mark

2024 JUN · Paper 02 (regional R) · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Explain **one** benefit of asset purchasing by a central bank such as the ECB. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant benefit Award 1 mark for developing the benefit Award 1 mark for the response being in context • One benefit is that this can lead to higher levels of consumer and business spending **(1).** Purchasing assets injects money into the economy **(1)** which can stimulate economic growth **(1)** • One benefit is (aggregate) demand will increase **(1)** because of the increase in the flow of money from central banks to commercial banks **(1).** This extra money can be loaned to consumers and firms **(1)** Accept any other appropriate response	**(3)**

Question Number	Using the diagram below, draw the likely effect of this rise in UK interest rates on the equilibrium exchange rate of the UK pound (£) against the euro (€). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for a rightward shift of demand, labelled Award 1 mark for a higher equilibrium exchange rate, labelled Award 1 mark for a higher equilibrium quantity, labelled  	**(3)**

Type MS · Unemployment: meaning, measurement and types

Answer 17 of 20 · Question 2 part a · 1 mark

2024 JUN · Paper 02 (regional R) · extract 4 of 6 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess how a recovery may affect unemployment for a country such as China. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The recovery phase follows a recession and is marked by an increase in economic activity • As Chinese firms begin to recover from the downturn, they may increase production and hire more workers, particularly in the services and construction sectors, to meet the rising demand for goods and services • This can lead to an increase in job creation and a decrease in unemployment • During the recovery phase consumer confidence may increase leading to higher consumer spending and further stimulating economic growth • This can also lead to increased job creation as Chinese firms respond to the higher demand for their products or services • As the Chinese economy improves and consumer demand increases, there may be more opportunities for individuals to start their own firms and create jobs for themselves and others **AO4** • However, there are also potential challenges to job creation during the recovery phase • Chinese firms may be hesitant to hire new workers if they are concerned about the sustainability of the recovery or uncertain about future economic conditions • The 5% economic growth target might not be achieved and some analysts expect the growth in exports to be temporary • During the recovery phase, firms may take advantage of the improving economic conditions to invest in new technologies or automation that could replace some jobs with machines • This could lead to job losses in certain sectors or industries • Some sectors of the Chinese economy may recover more slowly than others so unemployment may not fall in all sectors of the economy	**(9)**

Type MS · Unemployment: meaning, measurement and types

Answer 17 of 20 · Question 2 part a · 1 mark

2024 JUN · Paper 02 (regional R) · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Unemployment: meaning, measurement and types

Answer 17 of 20 · Question 2 part a · 1 mark

2024 JUN · Paper 02 (regional R) · extract 6 of 6 · find part a in this mark scheme extract

Question Number	What is the fiscal deficit/surplus? **Answer**	Mark

Type MS · Unemployment: meaning, measurement and types

Answer 18 of 20 · Question 2 part b · 1 mark

2024 JUN · Paper 02 · extract 1 of 7 · find part b in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **C** Increased economic growth A is not correct because it is likely to create more job opportunities B is not correct because it will make it easier and cheaper for firms to trade internationally D is not correct because it can make it easier and cheaper for consumers to purchase goods and services	**(1)**

Type MS · Unemployment: meaning, measurement and types

Answer 18 of 20 · Question 2 part b · 1 mark

2024 JUN · Paper 02 · extract 2 of 7 · find part b in this mark scheme extract

Question Number	Which **one** of the following types of unemployment is caused by changes in the business cycle? **Answer**	Mark
2(b)	**AO1 1 marks** The only correct answer is: **D** Cyclical A is not correct because this occurs due to a mismatch between the skills and qualifications of workers and the requirements of available jobs B is not correct because this occurs due to seasonal changes in the demand for labour C is not correct because this occurs when workers are in between jobs or transitioning to a new career	**(1)**

Question Number	State **one** possible impact of a current account deficit. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** possible impact • Leakage from the economy • Problems finding foreign currency reserves to fund the deficit • Can be inflationary • Increasing unemployment • Falling output/GDP Accept any other appropriate response	**(1)**

Question Number	What is meant by the term fines? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition Financial penalties imposed on individuals or businesses **(1)** who break the law/disobey regulations **(1)** Accept any other appropriate response	**(2)**

Type MS · Unemployment: meaning, measurement and types

Answer 18 of 20 · Question 2 part b · 1 mark

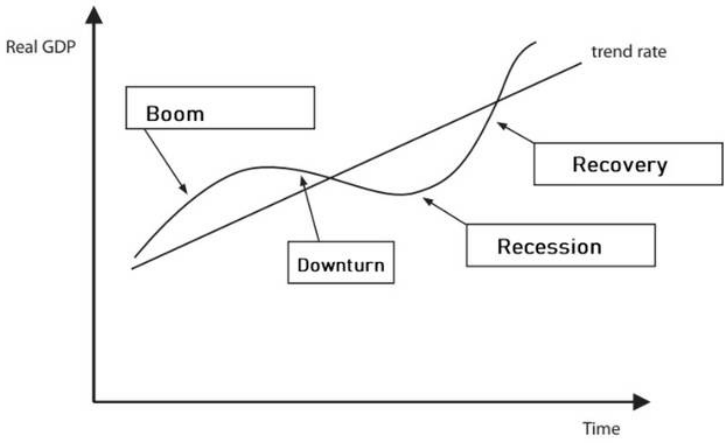
2024 JUN · Paper 02 · extract 3 of 7 · find part b in this mark scheme extract

Question Number	Explain **one** way progressive taxation can help to reduce poverty for a country such as the US. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in context • Those that earn more pay a higher percentage in tax **(1)** which can pay for unemployment benefits, healthcare services and education subsidies **(1)** that can provide help for those who are struggling financially **(1)** • It reduces the income gap between the wealthy and people with lower incomes **(1).** Taking more taxation as a proportion from higher income earners **(1)** reduces the burden on workers with lower incomes **(1)** Accept any other appropriate response	**(3)**

Type MS · Unemployment: meaning, measurement and types

Answer 18 of 20 · Question 2 part b · 1 mark

2024 JUN · Paper 02 · extract 4 of 7 · find part b in this mark scheme extract

Question Number	Using the diagram below label the remaining three stages of the economic cycle in the boxes on the diagram. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for Boom, labelled Award 1 mark for Downturn, labelled Award 1 mark for Recovery, labelled  	**(3)**

Type MS · Unemployment: meaning, measurement and types

Answer 18 of 20 · Question 2 part b · 1 mark

2024 JUN · Paper 02 · extract 5 of 7 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the possible benefits for the US of giving subsidies for green technology. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Subsidies are payments by the government to suppliers that reduce their costs • Subsidies can be used to promote domestic green technology industries that are deemed important for economic and social objectives • The $369bn can be used to encourage the production of renewable energy in the US producing batteries, solar panels and wind turbines • Subsidies can be used to encourage exports, by making domestic goods such as solar panels, more competitive on the global market thereby reducing trade deficits • Subsidies can be used to protect domestic employment by supporting US industries that might otherwise struggle to compete with foreign rivals in China • It may help to create new factories and millions of jobs as well as in related industries, such as manufacturing and construction, if green technology firms are attracted to the US to take advantage of the subsidies **AO4** • However, subsidies may create a dependence on the US Government which can make it difficult for these projects to be self-sustaining in the long-term • Subsidies can be expensive for the US Government and may divert funds away from other important priorities • Subsidies may be allocated inefficiently and may not be targeted towards the most effective or innovative green technologies • There could be retaliation from the EU and the UK that are unhappy with these subsidies and they could offer their own subsidies to attract green technology firms away from the US • Therefore, this may make the use of subsidies an inefficient use of resources by the US Government	**(9)**

Type MS · Unemployment: meaning, measurement and types

Answer 18 of 20 · Question 2 part b · 1 mark

2024 JUN · Paper 02 · extract 6 of 7 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Unemployment: meaning, measurement and types

Answer 18 of 20 · Question 2 part b · 1 mark

2024 JUN · Paper 02 · extract 7 of 7 · find part b in this mark scheme extract

Question Number	Which **one** of the following is an example of Foreign Direct Investment (FDI)? **Answer**	Mark

2(a)	**AO1 1 marks** The only correct answer is: **A** Appreciation B is not correct because this is when there is a fall in the value of the exchange rate C is not correct because this is when a government fixes a new higher exchange rate D is not correct because this is when a government fixes a new lower exchange rate	**(1)**

Question Number	Which **one** of the following is a reason for why there is protection for international trade? **Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **C** To protect domestic jobs A is not correct because trade protection aims to stop dumping B is not correct because trade protection reduces free trade D is not correct because trade protection should help to reduce the current account deficit	**(1)**

Question Number	State **one** possible impact of globalisation on consumers. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** possible impact • Rising living standards • Greater choice • Lower prices • Dangerous products Accept any other appropriate response	**(1)**

Type MS · Unemployment: meaning, measurement and types

Answer 19 of 20 · Question 2 part g · 9 marks

2024 NOV · Paper 02 · extract 2 of 6 · find part g in this mark scheme extract

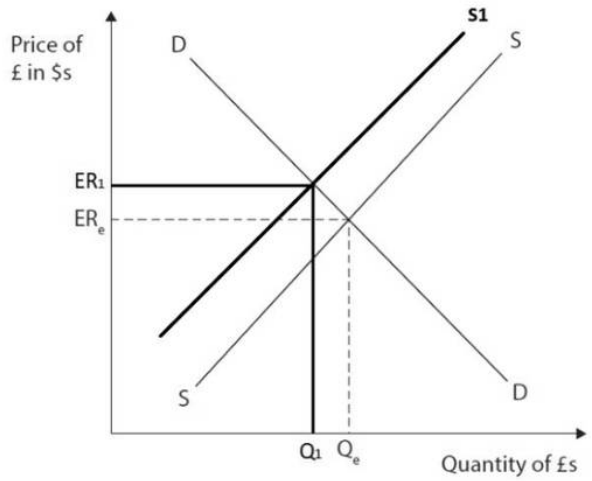
Question Number	What is meant by the term asset purchasing? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition When a central bank buys government bonds/financial assets **(1)** from commercial banks **(1)** Accept any other appropriate response	**(2)**

Question Number	Explain **one** reason why there might be a trade-off between economic growth and environmental protection for an economy such as China. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that environmental protection can increase the cost of doing business **(1).** Firms may need to invest in new equipment/technologies to reduce emissions **(1)** which may result in slower economic growth **(1)** • One reason is that more environmental protection such as restrictions may limit business activity **(1)** to reduce emissions/pollution from factories **(1)**, which could lead to lower economic growth **(1)** Accept any other appropriate response	**(3)**

Type MS · Unemployment: meaning, measurement and types

Answer 19 of 20 · Question 2 part g · 9 marks

2024 NOV · Paper 02 · extract 3 of 6 · find part g in this mark scheme extract

Question Number	Using the diagram below, draw the likely effect of a decrease in imports from the US on the equilibrium exchange rate of the UK pound (£) against the US dollar ($). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for a leftward shift of the supply curve, labelled Award 1 mark for a higher equilibrium exchange rate, labelled Award 1 mark for a lower equilibrium quantity, labelled  **Figure 3**	**(3)**

Type MS · Unemployment: meaning, measurement and types

Answer 19 of 20 · Question 2 part g · 9 marks

2024 NOV · Paper 02 · extract 4 of 6 · find part g in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the possible impact of the introduction of AI on the levels of structural unemployment. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Structural unemployment is caused by a mismatch between the skills that workers in the economy can offer and the skills demanded of workers by employers • In the case of the introduction of AI, this could be caused by the introduction of new technology • AI can perform repetitive and routine tasks more efficiently and accurately than humans • As a result, jobs that involve tasks like data entry, basic coding or even certain aspects of journalism may be automated, leading to the replacement of workers in these industries • This can contribute to higher levels of structural unemployment rates among workers in these types of job roles which can be seen in the planned job cuts at IBM and BT • Some workers may not have the necessary skills for the new jobs being created in the AI and technology sector resulting in an increase in structural unemployment **AO4** • However, while AI can eliminate certain jobs, it can also create new job opportunities • For example, the development, maintenance and running of AI systems require skilled IT professionals • New industries and job roles related to AI and technology may emerge potentially absorbing some of the unemployed workers • AI can boost productivity and efficiency in various sectors potentially leading to economic growth • A growing economy can create more job opportunities in non-routine and creative roles that are less susceptible to AI • AI and new technology have enabled an increase in remote work/working from home which can expand job opportunities for individuals	**(9)**

Type MS · Unemployment: meaning, measurement and types

Answer 19 of 20 · Question 2 part g · 9 marks

2024 NOV · Paper 02 · extract 5 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Unemployment: meaning, measurement and types

Answer 19 of 20 · Question 2 part g · 9 marks

2024 NOV · Paper 02 · extract 6 of 6 · find part g in this mark scheme extract

Question Number	Which **one** of the following is an advantage of a government giving subsidies to domestic producers? **Answer**	Mark

Type MS · Unemployment: meaning, measurement and types

Answer 20 of 20 · Question 1 part a · 1 mark

2025 JUN · Paper 02 (regional R) · extract 1 of 6 · find part a in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **B** A construction worker not finding work during the monsoon period A is not correct because this is an example of structural unemployment C is not correct because this is an example of cyclical unemployment D is not correct because this is an example of voluntary unemployment	**(1)**

Question Number	Which **one** of the following is likely to cause cost-push inflation? **Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **C** An increase in the prices of raw materials paid by producers A is not correct because this is more likely to cause demand-pull inflation B is not correct because this affects the supply-side but it is not a direct cause of cost-push inflation D is not correct because this stimulates demand rather than increasing production costs	**(1)**

Question Number	What is meant by the term current account deficit? **Answer**	Mark
1(c)	**AO1 2 marks** Award 2 marks for a correct definition When the value of imports **(1)** exceeds the value of exports **(1)** Accept any other appropriate response	**(2)**

Type MS · Unemployment: meaning, measurement and types

Answer 20 of 20 · Question 1 part a · 1 mark

2025 JUN · Paper 02 (regional R) · extract 2 of 6 · find part a in this mark scheme extract

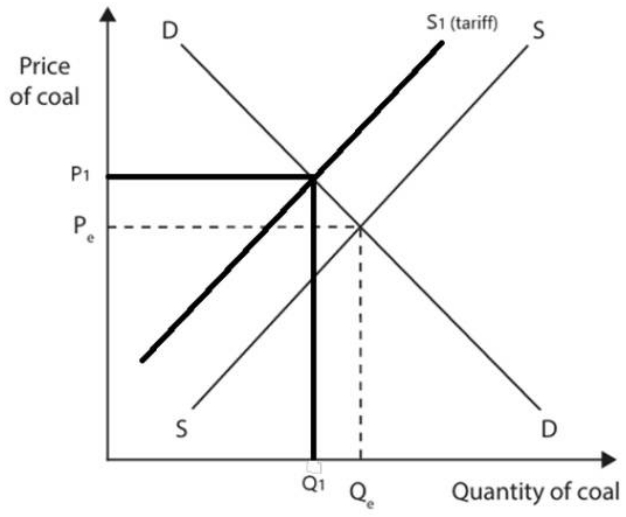
Question Number	Describe **one** benefit to a country of using quotas for imported goods. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to the benefit and 1 mark for the development of the benefit One benefit is quotas can protect domestic industries **(1)** due to restricting the quantity of certain imports **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate the **price in euros (€)** of a UK-manufactured smartphone priced at £750 when the exchange rate is £1 = €1.18. You are advised to show your working. **Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for calculation of the price in euros 750 × €1.18 **(1)** Award 1 mark for the correct answer = €885 **(1)** Award 2 marks if the correct answer is €885 even if no calculations are shown Award 1 mark if the answer given is 885 even if no calculations are shown Do not award marks for the formula.	**(2)**

Type MS · Unemployment: meaning, measurement and types

Answer 20 of 20 · Question 1 part a · 1 mark

2025 JUN · Paper 02 (regional R) · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of the tariff on the equilibrium price and quantity of coal in China. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for a leftward shift of the supply curve, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a lower equilibrium quantity, labelled  	**(3)**

Type MS · Unemployment: meaning, measurement and types

Answer 20 of 20 · Question 1 part a · 1 mark

2025 JUN · Paper 02 (regional R) · extract 4 of 6 · find part a in this mark scheme extract

Question Number	Explain **one** possible benefit of using pollution permits to protect the environment for a country such as the UK. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant benefit Award 1 mark for developing the benefit Award 1 mark for the response being in context • One benefit is that the health of UK citizens will be improved **(1).** Fewer available permits make airlines find ways to adopt cleaner technologies/improve efficiency. **(1)** This will help to reduce air pollution **(1)** • One benefit is that air pollution will decrease **(1).** This is because airlines are limited in how much they can pollute **(1)** so they must reduce their emissions to stay within limits **(1)** Accept any other appropriate response	**(3)**

Question Number	With reference to the data above and your knowledge of economics, analyse the benefits of using GDP as a measure of economic growth for a country such as India. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • GDP helps to understand the size and overall economic health of India • This makes it easier to assess how well the Indian economy is doing and whether it is growing or shrinking • India's GDP growth rate of 7.2% in 2023 allows for easy comparison with other major economies, showing its position and progress on a global scale • The GDP growth figures, of 7.2% in 2023 and forecasted 6.9% in 2024, help the government assess the effectiveness of its economic policies • Rising GDP signals more income/output, helping the Indian government plan for infrastructure, health or education spending • Generally, if India's GDP is increasing, it means people might be earning more and living standards could be improving	**(6)**

Type MS · Unemployment: meaning, measurement and types

Answer 20 of 20 · Question 1 part a · 1 mark

2025 JUN · Paper 02 (regional R) · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Unemployment: meaning, measurement and types

Answer 20 of 20 · Question 1 part a · 1 mark

2025 JUN · Paper 02 (regional R) · extract 6 of 6 · find part a in this mark scheme extract

Question Number	The percentage of income tax paid by an individual in a progressive tax system **Answer**	Mark